

LIBERTY KENYA HOLDINGS LIMITED

The Board of Directors of Liberty Kenya Holdings Limited is pleased to announce the audited results of the Group for the year ended 31 December 2015



LIBERTY

Group Statement of Financial Position

	31 December 2015 Shs'000	31 December 2014 Shs'000
Capital and reserves		
Ordinary share capital	535,707	535,707
Share premium	1,490,480	1,490,480
Revenue and other reserves	3,872,988	3,748,689
Equity attributable to owners of parent	5,899,175	5,774,876
Non-controlling interest	333,936	382,313
Total equity	6,233,111	6,157,189
REPRESENTED BY:		
Assets		
Property and equipment	1,098,712	1,063,672
Intangible assets	86,721	37,144
Goodwill	1,254,995	1,254,995
Investment property	1,035,500	936,000
Financial investments	19,064,519	19,098,156
Receivables arising from reinsurance	484,394	489,991
Receivables arising from direct insurance	1,640,417	1,324,014
Reinsurers' share of insurance liabilities	2,315,330	2,103,145
Deferred acquisition costs	143,670	135,416
Other receivables	435,555	335,574
Deferred income tax	123,915	108,076
Current income tax	92,787	56,108
Cash and cash equivalents	6,757,174	6,251,762
Total assets	34,533,689	33,194,053
Liabilities		
Insurance contract liabilities	11,060,752	9,720,729
Deposit administration liabilities	11,463,105	12,047,554
Unearned premium reserve	3,004,505	2,768,235
Creditors arising from direct insurance	406,954	616,432
Creditors arising from reinsurance	618,114	337,443
Deferred acquisition income	88,414	73,554
Other liabilities	863,845	928,809
Deferred income tax	794,889	541,887
Current income tax	-	2,221
Total liabilities	28,300,378	27,036,864
Net assets	6,233,111	6,157,189

Group Income Statement

	31 December 2015 Shs'000	31 December 2014 Shs'000
Income		
Gross earned premium revenue	9,352,567	8,036,914
Less: Outward reinsurance	(3,826,733)	(3,344,429)
Net insurance premium revenue	5,525,834	4,692,485
Commissions earned	794,679	668,577
Investment income	1,833,886	2,968,254
Administration fees	9,101	13,764
Other income	108,156	(40,528)
Total income	8,271,656	8,302,552
Claims and policyholder benefits payable	(4,568,813)	(2,450,981)
Change in insurance contract liabilities	(177,892)	(882,325)
Amounts recoverable from reinsurers	1,620,588	(123,155)
Net insurance benefits and claims	(3,126,117)	(3,456,461)
Commissions payable	(1,181,061)	(921,303)
Other operating expenses	(3,010,776)	(2,588,137)
Total expenses and commissions	(4,191,837)	(3,509,440)
Result of operating activities	953,702	1,336,651
Earnings from associates	-	9,918
Profit before income tax	953,702	1,346,569
Income tax expense	(217,652)	(197,584)
Profit for the period	736,050	1,148,985
Attributable to:		
Owners of the parent	675,253	1,069,964
Non-controlling interest	60,797	79,021
	736,050	1,148,985
Basic and diluted earnings per share	1.37	2.14

Abridged Group Statement of Cashflows

	31 December 2015 Shs'000	31 December 2014 Shs'000
Cash generated from operations	(508,538)	908,460
Net interest received	2,458,401	2,063,438
Income tax paid	(256,892)	(262,138)
Net cash generated from operating activities	1,692,971	2,709,760
Cashflows from (used in) investing activities	(802,153)	(2,675,335)
Cashflows used in financing activities	(344,080)	(250,833)
Currency translation differences	(41,326)	15,187
Net increase in cash equivalents	505,412	201,221
Cash and cash equivalents at 1 January	6,251,762	6,452,983
Cash and cash equivalents at 31 December	6,757,174	6,251,762

Group Statement of Comprehensive income

	31 December 2015 Shs'000	31 December 2014 Shs'000
Profit for the period	736,050	1,148,985
Items that can be reclassified into profit or loss:		
Foreign currency	(78,547)	(22,508)
Items that cannot be reclassified into profit or loss:		
Recognition of deferred income tax on revaluation	(2,920)	(2,401)
Gain on revaluation of land and building	15,500	8,000
Other comprehensive income for the year net of tax	(65,967)	(16,909)
Total comprehensive income for the year	670,083	1,132,076
Total comprehensive income attributable to:		
Owners of parent	642,234	1,064,013
Non-controlling interest	27,849	68,063
Total comprehensive income for the period	670,083	1,132,076

Abridged Group Statement of Changes in Equity

	Share Capital Shs'000	Share Premium Shs'000	Revenue and other reserves Shs'000	Proposed dividend Shs'000	Non - controlling interests Shs'000	Total Shs'000
At 1 January 2015	535,707	1,490,480	3,748,689	-	382,313	6,157,189
Net profit for the year	-	-	675,253	-	60,797	736,050
Other comprehensive income	-	-	(33,019)	-	(32,948)	(65,967)
Dividend paid to non-controlling interests	-	-	(267,854)	-	(76,226)	(344,080)
Deferred tax	-	-	(250,081)	-	-	(250,081)
As at 30 December 2015	535,707	1,490,480	3,872,988	-	333,936	6,233,111

Message from the Directors

The Group Statement of Financial Position, Group Income Statement, Group Statement of Comprehensive Income, Abridged Group Statement of Cashflows and Abridged Group Statement of Changes in Equity are extracts from the Group's financial statement as audited by KPMG Kenya and have received an unqualified opinion. The complete set of Financial Statements will be available on the Company's website after approval at the Annual General Meeting.

COMMENTARY

Liberty Kenya Holdings Limited and its subsidiaries (the Group) maintained consistent growth in revenues and net assets for the year ended 31 December 2015. Both long term and short term lines of our businesses in Kenya and Tanzania registered positive growth in the core insurance earnings, underpinning the Group's sharpened focus on customers with prudent underwriting and benefits management.

The Year's performance was delivered against the backdrop of an increasingly challenging operating environment characterised by intense competition from traditional and non-traditional players. The Group has implemented prudent operational and risk management models that ensure all business lines are well capitalised.

The value of investments in both listed equities and bonds across the East African market experienced a significant decline. This has negatively impacted on the Group and Company earnings in Kenya and Tanzania. The businesses have robust asset liability management strategies embedded as part of the business processes and continually assess opportunities to improve on market returns of investments in line with the existing portfolios.

The Insurance Act Amendments 2015 introduced Risk Based Capital (RBC) as well as changes in solvency determination. RBC is a factor based model that considers key risks that typical insurance firms in the Kenyan market are expected to be exposed to namely insurance, credit and operational risks.

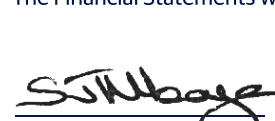
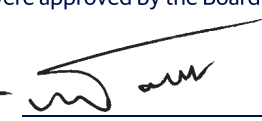
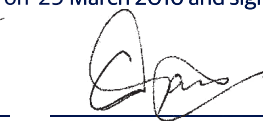
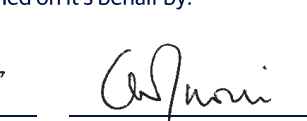
Dividends

As a result of changes in the regulatory environment in the insurance industry requiring the subsidiary businesses to hold higher capital coupled with recent loss of value of investments, the Board of Directors do not recommend the payment of a dividend(2014: Shs 0.50 per share).

Looking ahead

As a Group we remain actively focused on adapting our business model to accommodate a number of significant market and regulatory developments while increasing our responsiveness to growth opportunities in our chosen markets.

The Financial Statements were approved by the Board on 29 March 2016 and signed on its behalf by:

 S Mboya Chairman	 M L du Toit Managing Director	 G R May Director	 C Kioni Company Secretary
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